- the factors which led to the spurt in services sector growth especially in post-reform regime;
- policy initiatives and measures taken by the government for the promotion and growth of certain major services; and
- constrains and bottlenecks being faced in selected service sectors.

16.1 INTRODUCTION

The service or tertiary sector is the third piece of a three-part economy. The first economic sector, the primary sector, covers the farming, mining, and agricultural business activities in the economy. The secondary sector covers manufacturing and business activities that facilitate the production of tangible goods from the raw materials produced by the primary sector. The service sector, though classified as the third economic sector, is responsible for the largest portion of the global economy's business activity.The sector currently accounts for more than half of India's GDP. This process of tertiarisation (dominance of the tertiary or services sector) of the economy has been accompanied by a decline in the share of the primary sector (agriculture) and a more or less constant share of the secondary (industry) sector over the years.

However, though the growth of service sector in India is in line with the global trends, there are unique characteristics of India's service sector growth.

- First, the entire decline in the share of agriculture sector in GDP has been picked up by the service sector while manufacturing sector's share has remained more or less the same.
- Second, in spite of its growing share in the GDP, there has been a serious mismatch between the share of services in GDP and the corresponding share of services in total employment.
- Further, it is found that growth pattern in the service sector has not been uniform across all services in India.

This unit, especially focusing on the organised service sector, is designed to respond the following questions: (a) what constitutes the service sector (b) what is the pattern of growth in India's service-sector? (c) what are issues – major cross-cutting issues as well as sector-specific issues being faced by the organised service sector in India? (d) what are the important external and internal barriers to trade in different services in India? (e) what policy initiatives have been taken by the government to sustain the growth of service sector in the long run?

16.2 WHAT CONSTITUTES THE SERVICES SECTOR?

The term services sector refers to, at the most aggregate level, a large group of activities that include trade, hospitality (hotels, restaurants), transportation, communication, entertainment, health, education, public services and so on. Even at the aggregate level, the services sector is more heterogeneous than the other two sectors, agriculture (primary sector) and industry (secondary sector). Thus, if the primary sector involves producing goods directly from natural resources (agriculture, fishing, hunting, mining and so on) and secondary sector involves modifying material goods into other more useful products and commodities, then the tertiary sector or the services sector includes all activities that do not produce or modify material goods.

In other words, unlike the output of agriculture, mining or manufacturing which are material and tangible, the output of the services sector such as teaching, cleaning, selling, curing and entertaining have no physical form and therefore are immaterial or intangible. Given its nature and heterogeneity, the precise definition and identification of the services sector is being debated even today. T. P. Hill (1977) provided what constitutes the production of goods and what would be services, and thus provides a positive definition of the services sector. Hill makes a distinction between 'services affecting goods' and 'services affecting persons' and thus proposes a definition of the services sector *"as a change in the condition of a person, or of a good belonging to some economic unit, which is brought about as the result of the activity of some other economic unit, with the prior agreement of the former person or economic unit"*. Alternatively, many studies adopt a broader and simpler definition of services on non-transferability and non-storability. Other associated characteristics of services that need to be noted are that services are heterogeneous and flexible in production and imperfect competition is highly relevant for services.

According to the United Nations System of National Accounts (UNSNA) (1993), "Services are not separate entities over which ownership rights can be established. They cannot be traded separately from their production. Services are heterogeneous outputs produced to order and typically consist of changes in the conditions of the consuming units realised by the activities of producers at the demand of the consumers. By the time their production is completed they must have been provided to the consumers."

In India, the National Industrial Classification provides classifications for services. At present, the National Industrial Classification 2008 is used (Box 16.1) though there are differences between it and the United Nations International Standard Industrial Classification (UNISIC), e.g., construction is not a part of the sector in India while it is in the UNISIC.

Box 16.1: Services Included in the Service Sector in the National Industrial Classification, 2008

- Wholesale and retail trade; repair of motor vehicles and motorcycles
- Transportation and storage
- Accommodation and food service activities
- Information and communication
- Financial and insurance activities
- Real estate activities
- Professional, scientific, and technical activities
- Administrative and support services
- Public administration and defense; compulsory social security
- Education
- Human health and social work activities

- Arts, entertainment, and recreation
- Other service activities
- Activities of households as employers; undifferentiated goods and services producing activities of households for own use
- Activities of extraterritorial organisations and bodies

Source: Extracted from National Industrial Classification, 2008

Disaggregated data for many services are not available. Services such as retailing and construction are largely in the non-corporate (informal or unorganised) sector, there is both misreporting and under-reporting.

India has a quasi-federal governance structure; some services are under the jurisdiction of the central government (Union List), some are under the state governments (State List) and the remaining are under the joint administration of central and state governments (Concurrent List) (Box 16.2).

Box 16.2: Jurisdictions in the Service Sector

- **Union List**

  Telecommunications, postal, broadcasting, financial services (including insurance and banking), national highways, mining services
- **State List**

  Healthcare and related services, real estate services, retail, services incidental to agriculture, hunting, and forestry
- **Concurrent List**

  Professional services, education, printing and publishing, electricity

Multiple ministries and central government departments regulate services such as energy and transport while others like construction and retail do not have nodal ministries. Services like telecommunications have one independent regulator while others like electricity have state regulators as well. Professional bodies regulate professions such as doctors, architects, and accountants.

16.3 SERVICE SECTOR MEASUREMENT ISSUES

The main sets of problems with regard to measurement of services sector value added are:

- The first set of problems relates to the inability to measure the value of output itself. For example, there are services that are not marketed or do not have an explicit 'market value' such as services that are provided by public administration, ownership dwellings, banking and financial services and so on. A part of this problem is also the difficulty in obtaining the actual 'quantity of service' provided.The general method adopted for measuring value added in case of such services is the value of wages given to workers in the sector. Thus, an increase in either employment or in wages both lead to a corresponding increase in value added.

- The second set of problems relate to obtaining the real value of services as opposed to the nominal value of services. The absence of appropriate price deflators for many different types of services makes it difficult to arrive at the value added in services in real terms. The most popular method used to overcome this problem is the method of double deflation, where in the value of output and value of inputs are deflated separately by their appropriate price indices and the value added for the service is then estimated as the difference between the output and inputs.

- The third set of issues is to do with the inability to actually make measurements on the ground and hence the use of indicators as proxies for the existence and growth of some services.

Having discussed the three problem areas of services sector measurement in general, we now turn to discuss issues specific to India. The main problem with regard to estimating services GDP in India emanates from the fact that the estimates for GDP are arrived at in seven main categories, each being subdivided into subcategories and each of the subcategories in turn being classified further into three institutional sectors viz., private sector, public corporate sector and the unorganised sector. Each of these three institutional sectors has its own characteristics, making collection of data and estimates complicated and complex.

On the challenges in measurement of services sector in India, Economic Survey of 2010- 11 observed that *"One of the important challenges faced by the country is collection of data on the services sector. The challenge of data collection leads to difficulties in compilation of an index for services sector production, non representation of many services sectors in the calculation of the wholesale price index, limited availability of published data on pricing of services, and limited data on trade in services. Even where data are available, they suffer from 14 deficiencies related to definition, method of collection, suitability for pricing, and construction of indices".*

Check Your Progress 1

1) Briefly explain the process of tertiarisation in case of Indian Economy.

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2) Briefly discuss the unique characteristics of growth of service sector in India.

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3) Briefly explain the issues involved in measuring the value added in some of the services sectors in India.

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16.4 PATTERN OF GROWTH IN SERVICES IN INDIA

16.4.1 Structural Change in Indian Economy

The process of development requires structural change. The structural change of an economy takes place mainly along two dimensions: one is the changing sector-wise shares in GDP and the second is the changing share of the labour force, engaged in each sector. Over a span of past 60 years (1950-51 to 2011-12), the share of primary sector in GVA at factor cost measured at constant prices (2004-05 prices), in general, and the agriculture, in particular, has come down to one-third of what it was initially (i.e., 53.7 per cent in 1950-51 to 16.48 per cent in 2011-12). Even during 2011-12 to 2019-20 (shares measured with new data sources and new methodology for estimation), although the share of commodity sectors were slightly inflated but the share of primary sector continued to fall from 21.8 per cent in 2011-12 to 16.9 per cent in 2019-20 (1st AE) (Economic Survey, 2020).The secondary sector of the economy has shown a change at the snail's pace. The share of secondary sector that was 14.35 per cent of GVA in the year 1950-51 took a long span of 60 years to grow to 26.11 per cent. The percentage share of tertiary sector in the GVA has grown to 57.41 per cent in 2011-12 as compared to mere 29.43 per cent in 1950-51. This implies that the tertiary sector has been the major beneficiary of the economic reforms.

16.4.2 Relative Shares of Sub-Sectors of Service GDP

Major trends in the change in structure of service sector during the entire period from 1950-51 to 2011-12 and thereafter are summarised as below:

- Two important service sub-sectors, Trade and Public administration appear to remain stable with regard to their contribution to services sector GDP. The share of Trade changed from 25 per cent to about 26 per cent. Similarly, the share of Public administration changed from 9 per cent to 10 per cent.
- A closer look at trends over the period reveals that trade shows a U-shaped pattern with regard to its share in total services GDP; its share first declined to about 20 per cent in 1991- 92 before increasing to 27 per cent in 2011-12. Similarly, Public administration displays an inverse U-shaped pattern with regard to its share in total services GDP. Public administration peaked with a share in services GDP of about 14.7 per cent before declining to 10 per cent in 2011-12.

- The services that have notable increases in shares through the period are Banks (whose GDP increase from about 1.2 per centin 1950 51 to 8.3 per cent in 2009 10), Road transport (from 4.5 per centto 8 per cent), Business services (from 0.8 per cent to 7.4 per cent) and Insurance (0.8 to 2.7 per cent). Of these, the share of Business services increased sharply starting from the mid 1990s. Services that experienced a secular decline are Dwellings (23.8 per cent to 7.6 per cent), Domestic services (8.4 per cent to 1per cent) Recreation and entertainment services (5.4 per cent to 0.8 per cent)
- Services that exhibited an inverse U-pattern in their shares in GDP are Public administration, Education and Health. Their respective shares in services GDP increased till about the 1980s before beginning to decline.
- Finally, there are two services that stand out prominently in terms of high growth. The first is Business services and the second is Private sector communications. Private sector communications which did not exist in any significant way till 1990 - 91 (0.1 per cent) grew to account for about 3.5 per cent of services GDP in 2011- 12. Similarly, business services of which computer related services is a major component accounted for only about 1.3 per cent of the services GDP in 1989- 90 and this share increased to 7.4 per cent in 2011-12.

16.4.3 Share of Services in Trade

The growth in services sector worldwide has also been accompanied by the rising share of services in world transactions. In India also, growth in the services sector has also been accompanied by a substantial growth in international transactions in services. In fact, India's exports of services displayed one of the fastest growth rates in the world, i.e., over 17 per cent per annum in the 1990s (the world average being 5.6 per cent). Thereafter it declined but still remains higher than the merchandise share in world trade. India's Services share in world services exports is given in Table 16.1.

Table 16.1: India's Share in World Services Exports (Unit in USD Billion)

Year	Exports of India's Services	Imports of India's Services	India's Share in World Exports of Services
1998-99	13.20	11.02	0.99
1999-00	17.60	11.64	1.20
2000-01	20.40	16.39	1.40
2001-02	20.70	16.08	1.30
2017-18	205.11	179.58	3.50

Source: Handbook of Statistics on The Indian Economy (https://dbie.rbi.org.in), Reserve Bank of India, Mumbai.

16.4.4 Share of Services in FDI

Along with trade, there has been a large inflow of FDI into India since 1990s onwards. However, this increase in FDI inflows has been accompanied by a change in the structure of FDI. Following the international trend, FDI inflows into India are also shifting increasingly away from manufacturing sector, towards services sector. The average share of services in total FDI increased from 10.5 per cent in the period 1990-94 to 28.3 per cent in the period 1995-1999 (World Investment Report, 2004).But the inflow of FDI into services sector has been biased towards few of the services sectors e.g. telecommunications (69 per cent), financial services (15 per cent) and Hotels and Restaurants (6 per cent). Relative share of FDI inflows in India from 2006-07 to 2010-11indicates that the share of services although remains dominant but declined in total FDI inflows and largely moved into the manufacturing sector.

Check Your Progress 2

1) Briefly discuss the trends in the relative shares of sub-sectors of Service GDP since independence.

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2) Discuss the trends in the share of services in trade and FDI inflows in India and comment on the dominance of services both in trade and FDI inflows.

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16.5 FACTORS BEHIND SERVICE SECTOR GROWTH

The literature on growth in service sector primarily argues that when an economy grows, both demand side and supply side factors operate that lead to higher growth in the service sector as compared to the other sectors. This also results in a larger share of service sector in total employment.

16.5.1 Demand-Side Factors

Although the emphasis laid on different factors by different economists has varied, the broad line of reasoning advanced by pioneers like Fisher and Clark and followed with some elaborations and modifications by later analysts has been as follows: Income elasticity of demand for agricultural products is low; that for industrial, particularly manufacturing goods is high; and, for services, it is still higher. As a result, with rising levels of income, the demand for agricultural products relatively declines and that for industrial goods increases and, after reaching a reasonably high level of income, demand for services increases sharply.

Bhagwati (1984) has put forward different ways in which technical and structural changes define a continuous process during which services splinter-off-goods and goods-splinter-off services. He argues that services that splinter off from goods are technically progressive and possibly capital-intensive, but services that are left behind after goods-from-services splintering process are mostly technically unprogressive and labour intensive. The reason for expecting these services to be technically progressive is the fact that these services arise due to specialisation, which reflects economies of scale. But in case the goods that splinter-off from services, for example records being produced, the musical services left behind are unprogressive and technically stagnant.

16.5.2 Supply Side Factors: Trade Liberalisation and Reforms

Three supply side factors that lead to higher supply of services are increased trade, higher FDI and improved technology. With respect to the Indian economy,Gordon and Gupta (2004) show that on the demand side high growth of services output in the 1990s was mostly due to factors such as, increasing input usage of services by other sectors i.e., higher domestic demand, higher foreign demand for services and higher income elasticity for final demand for services. The study also found that the growing use of services has a significant favourable effect on growth of output in Indian manufacturing in the 1990s. The contribution of service input to output growth in manufacturing was about one per cent in the 1980s, and it increased to about 25 per cent in the 1990s.

Trade reforms carried out in the 1990s explain to a large extent the rapid growth of use of services in manufacturing. Lower tariff and lower non-tariff barriers were also found to have led to an increase in the usage of services in manufacturing sector. Thus, the studies show that growth of India's services sector can be attributed to:

- Structural Changes that have led to increase in usage of services by other sectors;
- Lower tariff and non-tariff barriers to trade; and
- Other reforms carried out in the 1990s.

Check Your Progress 3

1) Discuss the factors that have led to the spurt in service sector growth in India.

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16.6 ORGANISED SERVICE SECTORS– CROSS CUTTING POLICY INITIATIVES AND ISSUES

Various policy initiatives have been taken by the Government to promote the services sector:

- In the Foreign Trade Policy (2015-20), to provide an impetus to the services trade, the SEIS (Service Export from India Scheme) incentives were increased by 2 per cent for notified services such as Business, Legal, Accounting, Architectural, Engineering, Educational, Hospitals, Hotels and Restaurants amounting to Rs. 1140 crore.
- The validity period of the Duty Credit Scrips was increased from 18 months to 24 months to enhance their utility in the GST framework. GST rate for transfer/sale of scrips has been reduced to zero from the earlier rate of 12 per cent. This will also help services sector.
- New Logistics Division created in the Commerce Department to develop and coordinate implementation of an Action Plan for the integrated development of the logistics sector.
- New Services division is being set up in Directorate General of Foreign Trade (DGFT) to examine EXIM policies and procedures from the point of view of "Services".

Despite these cross-cutting promotional measures, service sectors are facing variety of issues. The issues can be divided into two broad categories– Major Cross Cutting Issues and Sector-specific Issues. In this section, focus is on the major issues concerning all the service sectors.

16.6.1 Impact of Demonetisation on Service Sector in India

Demonetisation has offered both challenges and opportunities in the digitisation of the Indian economy. There was positive impact on services due to greater digitisation with measures like launch of Unified Payments Interface (UPI), Bharat Interface for Money (BHIM) app, and BHIM-Aadhaar Pay, etc. It has been empirically justified in many studies (R. Seranmadevia and A. Senthil Kumar, 2019) that the impact of demonetisation based on adoptability, implementation, readiness and acceptance of new payment methods and digital cash by the services providers and the customers has been significant.

16.6.2 Goods and Services Tax (GST): Impact on Services

You have already learned about the GST in detail in Unit 11. As you are aware, Goods and Services Tax Law, introduced since 1st July 2017, is a comprehensive, multi-stage, destination based tax that is levied on every value addition.

Positive Effects of GST on Service Sector

- ***No double taxation:*** In the previous regime there were disputes whether a particular supply is a supply of good or service. In such scenario, assesses were required to pay taxes (both VAT and Service Tax) multiple times. In GST regime, both goods and services are treated equally and this double taxation is removed.

- ***Seamless flow of Input Tax Credit (ITC):*** Under GST regime, service providers are allowed to avail ITC paid on inputs and capital goods. Therefore, now the cost of inputs and capital goods is reduced for service providers.

- ***Access to inputs held in stock:*** The service providers will access CENVAT credit of inputs that is held in stocks. This is best applicable when a person is moving from one category of taxation to the next like the exemption category to the taxable one. For example, earlier, service providers used to charge Service Tax to the clients and used to pay VAT on the goods purchased, like computers. It was not possible to take set off VAT against Service Tax. But in GST regime, you pay GST on both sales and purchases and hence it is easy to claim ITC on that.

- ***More Clarity for Software Industry:*** For companies that sell online software, it was not clear whether to apply VAT or Service Tax on the product. In GST regime, there is a clear distinction between products and services which will remove the confusion for service industry.

- ***Fewer costs to service providers:*** In the previous system of taxation, the credit of VAT and CST that were paid to the input were billed to the service provider. With the GST system, the CENVAT credit of SGST/CGST, as well as the IGST that are to be paid on inputs and capital goods are all taken care of which is a relief to the service provider.

Negative Impacts of GST on Service Sector

- ***Lack of a centralised registration:*** With the previous taxation system, many service providers rejoiced over being able to register all their businesses in different areas from a central place. However, this privilege has been taken away. Most of the service providers with operations in multiple states will now have to register in different states to be assessed separately in each state.

- ***More burden of Compliance:*** Service Tax return was required to be filled half yearly but in GST regime, 3 returns are required to be filled per month. Annual return is also required to be filled in addition to monthly return. In crux, now service providers are required to file 37 returns per state in comparison with 2 returns on PAN India basis.

- ***Services becoming Costlier:*** In previous tax regime, service tax was applicable at the rate of 15 per cent on Services rendered which included 0.5 per cent for Swachh Bharat Cess and 0.5 per cent for Krishi Kalyan Cess but in the Goods and Service tax regime, it has been increased up to 18 per cent making the services and works contracts costlier. Some services are put in 28 per cent slab.

16.6.3 Domestic Regulations and Barriers to Trade in Services

Since services trade often requires (temporary) movement of provider or consumer, restrictions on services mostly arises from regulations and discriminating requirements regarding this movement. Most service industries are highly regulated by national governments so that non-tariff barriers may be